that your company has been in business long enough to demonstrate an ability, over time, to earn significant profits.

Does the Business Have Favorable Long-Term Prospects?

The best business to own, the one with the best long-term prospects, is what Warren Buffett terms a franchise—a business that sells a product or service that is needed or desired, that has no close substitute, and whose profits are not regulated. A franchise typically possesses a great amount of economic goodwill that allows the company to better withstand the effects of inflation. The worst business to own is a commodity business. A commodity business sells products or services that are indistinguishable from competitors. Commodity businesses have little or no economic goodwill. The only distinction in a commodity business is price. The difficulty of owning a commodity business is that sometimes competitors, using price as a weapon, will sell their product below the cost of business to temporarily attract customers in hopes that they will remain loyal. If you compete against other businesses that occasionally sell their products below cost, you are doomed.

Generally, most businesses fall somewhere in between: They are either weak franchises or strong commodity businesses. A weak franchise has more favorable long-term prospects than a strong commodity business. Even a weak franchise still has some pricing power that allows it to earn above-average returns on invested capital. Conversely, a strong commodity business will earn above-average returns only if it is the lowest-cost supplier. One advantage to owning a franchise is that a franchise can endure management incompetence and still survive, whereas in a commodity business, management incompetence is lethal.

Management Tenets

Is Management Rational?

Since you do not have to watch the stock market or the general economy, watch your company's cash instead. How management reinvests cash